

Maanaveeya Development & Finance Private Limited

October 09, 2026

Facilities/Instruments	Name of the Regulator ¹	Amount (₹ crore)	Rating ²	Rating Action
Long-term bank facilities	RBI	600.00	CARE A-; Stable	Reaffirmed

Details of instruments/facilities in Annexure-1.

Rationale and key rating drivers

Reaffirmation of the rating assigned to bank facilities of Maanaveeya Development & Finance Private Limited (MDFPL) continues to reflect benefits of its ownership by Oikocredit Ecumenical Development Cooperative Society U.A.(Oikocredit), including managerial oversight and funding support. While CARE Ratings Limited (CareEdge Ratings) notes the announcement made by Oikocredit in October 2025 to divest part stake in MDFPL to a new partner (yet to be identified) to support MDFPL's growth plans, there is no material progress on the same as on date. The rating also factors in comfortable capitalisation levels supported by internal accruals, and a geographically diversified loan portfolio. Although the company's profitability remained adequate, it was adversely impacted in FY26 primarily due to elevated credit costs following the stress witnessed for its exposures to non-banking financial companies (NBFCs) operating in unsecured and microfinance segments. As on June 30, 2026, MDFPL reported a gross non-performing assets (GNPA) and net NPA (NNPA) of 3.15% and 0.83%, respectively, compared to 1.44% and 0.65% as on March 31, 2025. No additional slippages were reported in Q1FY27 and the same has led to improvement in profitability in Q1FY27. MDFPL's ability to arrest further asset quality deterioration while sustaining profitability and growth will remain a key rating monitorable.

The rating remains constrained by MDFPL's moderate scale of operations, and significant portfolio concentration in the NBFC sector, particularly within the MSME and microfinance segments, which constituted ~46.5% and 32.8% of the total loan book respectively as on June 30, 2026. The rating is also tempered by relatively high client concentration risk, given its wholesale nature of the portfolio, its concentrated, despite improving, funding profile, and business' susceptibility to socio-political interventions.

Rating sensitivities: Factors likely to lead to rating actions

Positive factors: Factors that could individually or collectively lead to positive rating action/upgrade:

- Significant increase in the scale of operations while maintaining healthy profitability and reported GNPA of less than 1% on a sustained basis.
- Diversification of the exposure, reducing the portfolio concentration significantly.
- Diversification of resource profile.

Negative factors: Factors that could individually or collectively lead to negative rating action/downgrade:

- Net non-performing asset (NNPA)/net worth deteriorating over 10% on a sustained basis.
- Deterioration in profitability with return on total assets (ROTA) of less than 2% on a sustained basis.
- Inability to mobilise funds at competitive rates.
- Depletion in liquidity buffer (unencumbered cash and bank balances) maintained by the company.

Analytical approach: Standalone, factoring linkages with parent Oikocredit.

MDFPL derives benefits in the form of operational and managerial support from the parent, Oikocredit, and has also received financial support from Oikocredit in the past.

Outlook: Stable

The stable outlook reflects the expectation that MDFPL will report a healthy earnings growth, supported by comfortable capitalisation levels.

¹SEBI: Securities and Exchange Board of India; RBI: Reserve Bank of India; MCA: Ministry of Corporate Affairs; IRDAI: Insurance Regulatory and Development Authority of India; PFRDA: Pension Fund Regulatory and Development Authority

²Complete definitions of the ratings assigned are available at www.careratings.com and in other CARE Ratings Limited's publications.

Detailed description of key rating drivers

Key strengths

Benefits derived from being part of Oikocredit

MDFPL is a wholly owned subsidiary of Oikocredit, operating as its regional centre in India. The company benefits from strong operational and strategic linkages with its parent, with credit and risk management frameworks closely aligned to group-level standards. As on June 30, 2026, ~51% of MDFPL's borrowings were sourced from Oikocredit through external commercial borrowings. Oikocredit has set a country exposure limit of 25% for India, based on its overall asset allocation. CareEdge Ratings expects continued financial and managerial support from the parent organisation.

MDFPL benefits from a highly experienced management team with deep expertise in both social and financial sectors. The senior leadership comprises professionals with backgrounds in development finance institutions and banking. The company is led by Dr. Gouri Sankar, Managing Director, who brings over two decades of experience in finance across national and international institutions. He is supported by a six-member board, including three representatives from Oikocredit, ensuring strong governance and strategic oversight.

Comfortable capitalisation supported by adequate internal accruals

MDFPL continues to maintain a healthy capital position, supported by adequate internal accruals. As on June 30, 2026, the company reported a total capital adequacy ratio (CAR) of 34.68% and a Tier-1 CAR of 34.21% (March 31, 2025: 32.73% and 32.47%).

The company's gearing stood stable at 1.96x as of March 31, 2026 (March 31, 2025: 1.98x), and declined to 1.77x as of June 30, 2026. MDFPL follows a policy of maintaining overall gearing below 3x. CareEdge Ratings expects the company's capitalisation to remain comfortable over the medium term given the moderate growth expectations.

Geographically diversified portfolio

As on June 30, 2026, MDFPL reported AUM of ₹1,940 crore, with operations spanning 15 states across India. The portfolio remains well-diversified geographically, with the top three states accounting for ~46% of the gross loan portfolio as on June 30, 2026 (March 31, 2025: 41%). CareEdge Ratings expects the company's portfolio to remain geographically diversified going forward.

Adequate profitability; however, moderation witnessed in FY26 considering elevated credit costs

Although MDFPL's profitability remains adequate, however, it was adversely impacted in FY26 due to elevated credit costs arising from asset quality challenges driven by macroeconomic headwinds. MDFPL profitability witnessed moderation in FY26 with increase in credit cost from 0.72% in FY25 to 2.54% in FY26 leading to lower reported profit after tax (PAT) of ₹33 crore (PY: ₹75 crore).

The company's disbursements were muted till November 2025, leading to a significant run down in AUM from ₹2,024 crore as on March 31, 2025 to ₹1,472 crore as on November 30, 2025, and the same led to lower net interest margins (NIMs). Consequently, pre-provision operating profit (PPOP) declined from ₹116 crore in FY25 to ₹98 crore in FY26. ROTA declined from 3.74% in FY25 to 1.56% in FY26.

In Q1FY27, the company reported PAT of ₹19 crore against PAT of ₹12 crore in Q1FY26. Consequently, the ROTA improved to 3.70% on an annualized basis in Q1FY27 (Q1FY26: 2.46%).

CareEdge Ratings expects that profitability may remain relatively steady, primarily due to no major slippages till date in FY27. The company's ability to effectively manage asset quality while sustaining profitability will remain a key monitorable.

Key weaknesses

Moderate scale of operations with client concentration and high exposure towards NBFC, especially in MSME and microfinance industry

The company's scale of operations continues to remain moderate and AUM growth was muted in FY26 considering the microfinance institution (MFI) crisis leading to cautious lending by the company and stood at ₹2,052 crore as on March 31, 2026, against ₹2,024 crore as on March 31, 2025. AUM moderated to ₹1,940 crore as on June 30, 2026 (₹1,791 crore as on June 30, 2025). The reduction in loan portfolio in Q1FY27 is due to the seasonality of having lower disbursements in Q1.

MDFPL's portfolio continues to be wholesale in nature, with the top 10 exposures accounting for 29% of AUM and 79% of tangible net worth (TNW) as on June 30, 2026. As on June 30, 2026, loans to NBFCs/MSME (other than MFIs) constituted ~46.5%, loans to MFIs constituted ~32.8%, and renewable energy projects (10.6%), Housing financial institutions (5.5%) and agri and other projects constituted ~4.5%. The portfolio mix is expected to remain broadly stable in the near term.

As on June 30, 2026, MDFPL's exposure to entities rated A- and above increased to 45%, compared to 37% as on March 31, 2025. A substantial portion of the portfolio of ~43% are towards BBB band rated entities (March 31, 2025: 54%). Balance 12% of the portfolio comprises entities that are either unrated or rated below BB+ (March 31, 2025: 8%).

Given the wholesale nature of MDFPL's portfolio, concentration risk remains a key monitorable going forward.

Moderation in Asset Quality in FY26

MDFPL experienced stress in asset quality in FY26, primarily due to its exposure to NBFCs operating in the unsecured and microfinance segments. As on March 31, 2026, the company reported GNPA and NNPA of 2.98% and 0.78%, respectively, compared to 1.44% and 0.65% as on March 31, 2025. No additional slippages were reported in Q1FY27. However, GNPA stood at 3.15% as on June 30, 2026 considering decline in loan portfolio in Q1FY27. The NNPA to net worth (NNPA/NW) ratio remains comfortable at 2.22% as on June 30, 2026 (2.91% as on June 30, 2025).

CareEdge Ratings expects that credit cost to reduce in FY27 aided by healthy provisioning coverage ratio of 74% for the stage 3 (June 30, 2025: 53%) and no accounts in Stage 2 assets as on June 30, 2026.

Susceptibility of the business to socio-political intervention

The company's business operations are highly susceptible to event-based risks due to significant exposure to the microfinance sector. Notwithstanding the recovery witnessed in the recent quarters, the microfinance sector remains exposed to socio-political intervention risk and regulatory uncertainty, and risks emanating from marginal borrower profile vulnerable to economic downturns.

Concentrated, despite improving resource profile

As on June 30, 2026, 51% borrowings were sourced from the parent, Oikocredit, through external commercial borrowings (ECBs), followed by funding from banks, which constitute 31.1% and NBFCs/Fis constitute 17.8% as on June 30, 2026.. The company has made notable progress in expanding its lender base, increasing the number of active lenders in the last two years from 11 as on June 30, 2023, to 20 as on June 30, 2026. This includes 10 banks, nine NBFCs, and one financial institution, reflecting improved access to diversified funding sources.

While MDFPL has successfully secured borrowings at competitive rates and broadened its lender network in the last three years, its continued ability to raise funds competitively from a diverse set of lenders remains a key factor influencing its credit profile and future growth prospects.

Liquidity: Adequate

Liquidity profile has been adequate with comfortable asset-liability management (ALM) profile and no cumulative negative mismatch in of the time buckets up to one year as on June 30, 2026. The company had unencumbered cash balance of ₹62 crore as on June 30, 2026. MDFPL has a contractual obligation (principal alone) of ₹453 crore for the next 12 months against which advances inflow amount to ₹1,067 crore in the same period.

Applicable criteria

[Definition of Default](#)

[Rating Outlook and Rating Watch](#)

[Financial Ratios - Financial Sector](#)

[Non Banking Financial Companies](#)

[Notching by Factoring Linkages in Ratings](#)

About the company and industry

Industry classification

Macroeconomic indicator	Sector	Industry	Basic industry
Financial services	Financial services	Finance	Non-banking financial company (NBFC)

Incorporated in August 2004, MDFPL is registered as a NBFC - non-deposit taking systemically important (NBFC-ND-SI) with Reserve Bank of India (RBI) and the wholly owned Indian Subsidiary of Oikocredit, Netherlands, which is a 50-year-old Europe-based Development Finance Institution. MDFPL was incorporated to operate as regional centre of Oikocredit in India and the NBFC lends to MFIs in India that are approved per Oikocredit's global standards. While in other countries, Oikocredit directly disburses loans / invests in NCDs of MFIs; Indian operations are through MDFPL, as it is administratively difficult to invest/ lend to different small MFIs through FII route. MDFPL is primarily engaged in lending to institutions, which lend to the economically poor, and financially excluded section of the society.

Standalone Financials

Brief Financials (₹ crore)	March 31, 2025 (A)	March 31, 2026 (A)	Q1FY27 (UA)
Total income	258	246	63
Profit after tax (PAT)	75	33	19
Assets under management (AUM)	2038	2052	1940
On-book gearing (x)	1.98	1.96	1.77
AUM / tangible net-worth (TNW) (x)	2.96	2.57	2.73
Gross non-performing assets (NPA) / gross stage 3 (%)	1.44	2.98	3.15
Return on managed assets (ROMA) (%)	3.74	1.56	3.70
Capital adequacy ratio (CAR) (%)	32.73	33.37	34.68

A: Audited; UA: Unaudited; Note: these are latest available financial results

Status of non-cooperation with previous CRA: Not applicable

Any other information: Not applicable

Rating history for last three years: Annexure-2

Detailed explanation of covenants of rated instrument / facility: Annexure-3

For complexity level of instruments rated refer to Annexure-1

Lender details: Annexure-4

Disclosure on facilities/instruments and name of regulators:

A list of facilities / instruments falling under the purview of financial sector regulators (FSRs) along with the names of respective FSRs has been duly disclosed by CareEdge Ratings on its website. A link to the same has been provided below for ready reference:

https://www.careratings.com/activities_and_regulators

Note: For facilities or instruments falling under the purview of FSRs other than Securities and Exchange Board of India (SEBI), the grievance / dispute redressal mechanisms and investor protection mechanisms provided by SEBI shall not be available.

Annexure-1: Details of instruments/facilities

Name of the Instrument	Name of the Regulator	Complexity Level	ISIN	Date of Issuance (DD-MM-YYYY)	Coupon Rate (%)	Maturity Date (DD-MM-YYYY)	Size of the Issue (₹ crore)	Rating Assigned and Rating Outlook
Fund-based - LT-Cash Credit	RBI	NA	-	-	-	-	15.00	CARE A-; Stable
Fund-based - LT-Term Loan	RBI	NA	-	-	-	October 2028	336.76	CARE A-; Stable
Fund-based - LT-Term Loan	RBI	NA	Proposed	-	-	-	248.24	CARE A-; Stable

Annexure-2: Rating history for last three years

Sr. No.	Name of the Instrument/Bank Facilities	Current Ratings			Rating History			
		Type	Amount Outstanding (₹ crore)	Rating	Date(s) and Rating(s) assigned in 2026-2027	Date(s) and Rating(s) assigned in 2025-2026	Date(s) and Rating(s) assigned in 2024-2025	Date(s) and Rating(s) assigned in 2023-2024
1	Fund-based - LT-Term Loan	LT	585.00	CARE A- ; Stable	-	1)CARE A- ; Stable (08-Sep-25)	1)CARE A- ; Stable (08-Oct-24)	1)CARE A- ; Stable (20-Mar-24) 2)CARE A- ; Stable (09-Oct-23)
2	Fund-based - LT-Cash Credit	LT	15.00	CARE A- ; Stable	-	1)CARE A- ; Stable (08-Sep-25)	1)CARE A- ; Stable (08-Oct-24)	1)CARE A- ; Stable (20-Mar-24) 2)CARE A- ; Stable (09-Oct-23)

LT: Long term

Annexure-3: Detailed explanation of covenants of rated instruments/facilities: Not applicable**Annexure-4: Lender details**To view lender-wise details of bank facilities please [click here](#)

Note on complexity levels of rated instruments: CareEdge Ratings has classified instruments rated by it based on complexity. Investors/market intermediaries/regulators or others are welcome to write to care@careedge.in for clarifications.

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